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The Speculative Grade Beat: Ten Billion Debut: AI's Record-Setting HY Entrance

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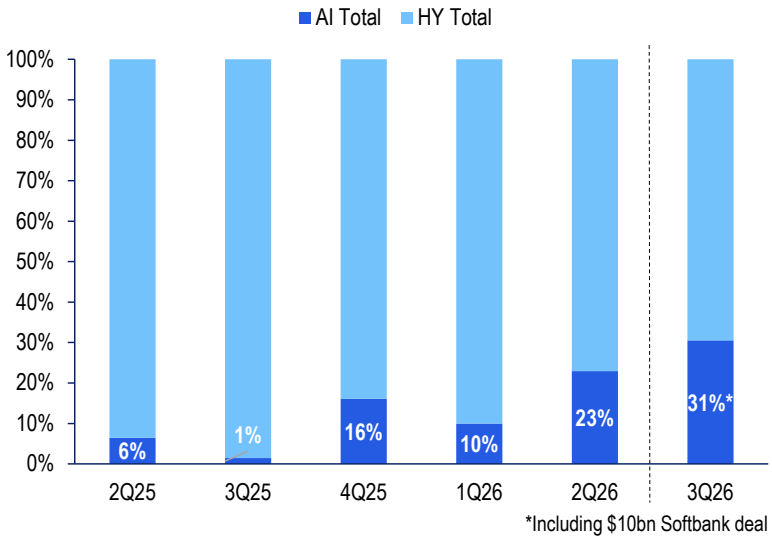
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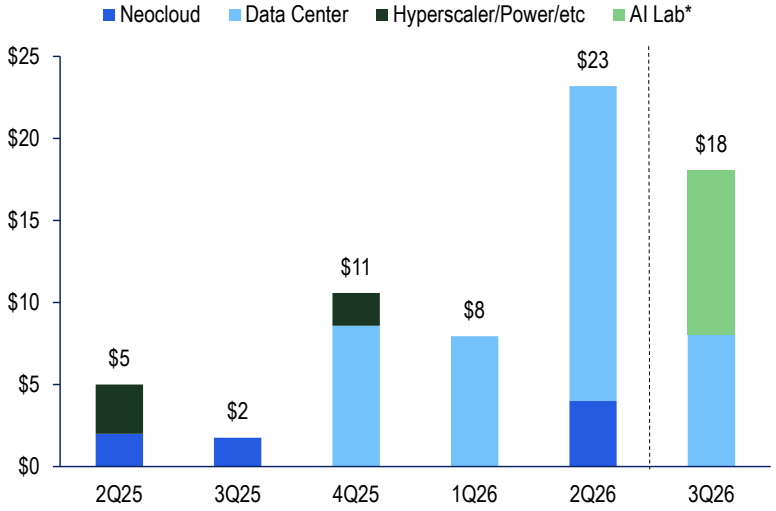
Ten Billion Debut: AI's Record-Setting HY Entrance

High yield primary market this week saw the largest issuance in HY history priced and completed, as SoftBank brought $10bn of new bonds tied to its AI-related capital commitments to market. AI-related issuance in 3Q'26 represents 31% of total quarterly HY issuance to date.

AI issuance forecasted to exceed 30% of quarterly HY issuance



SoftBank's debut AI-lab issuance arrives in an otherwise data-center-heavy universe



*"AI Lab" reflects use of proceeds (funding SoftBank's follow-on investment in a frontier AI Lab), not a direct or ring-fenced claim on a frontier AI lab. Bondholders hold general unsecured obligations of SoftBank, a diversified holding company whose balance sheet is itself heavily leveraged to the AI cycle.

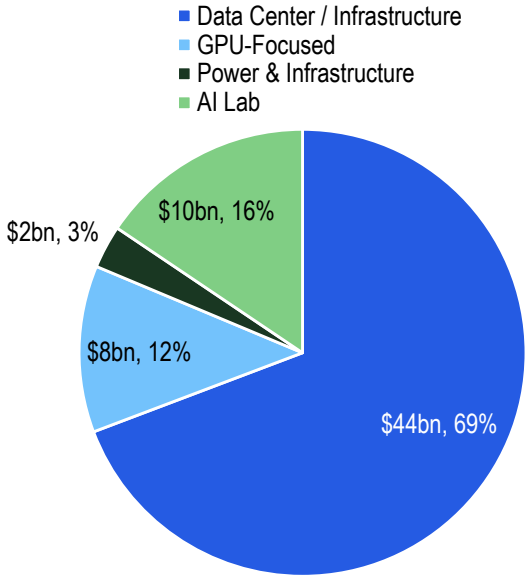
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Source: Citi Research

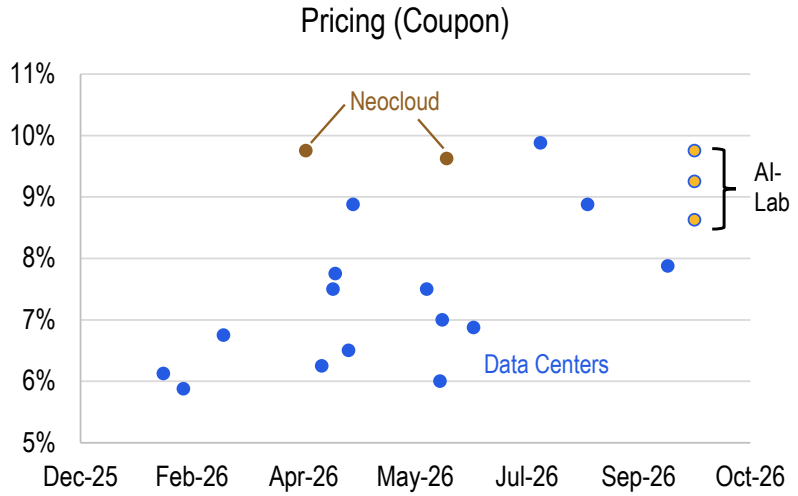
Improving AI Landscape in HY Market

SoftBank's issuances reflects strong market conviction in the AI buildout, while diversifying the ~$64bn HY AI universe, where it now represents 16% and reduces datacenter concentration from 82% to 69%. Final pricing priced it wider than data center deals but tighter than neoclouds.

HY AI universe subindustry composition has diversified post SoftBank



Market priced SoftBank's AI Lab risk wider than data centers but tighter than neoclouds

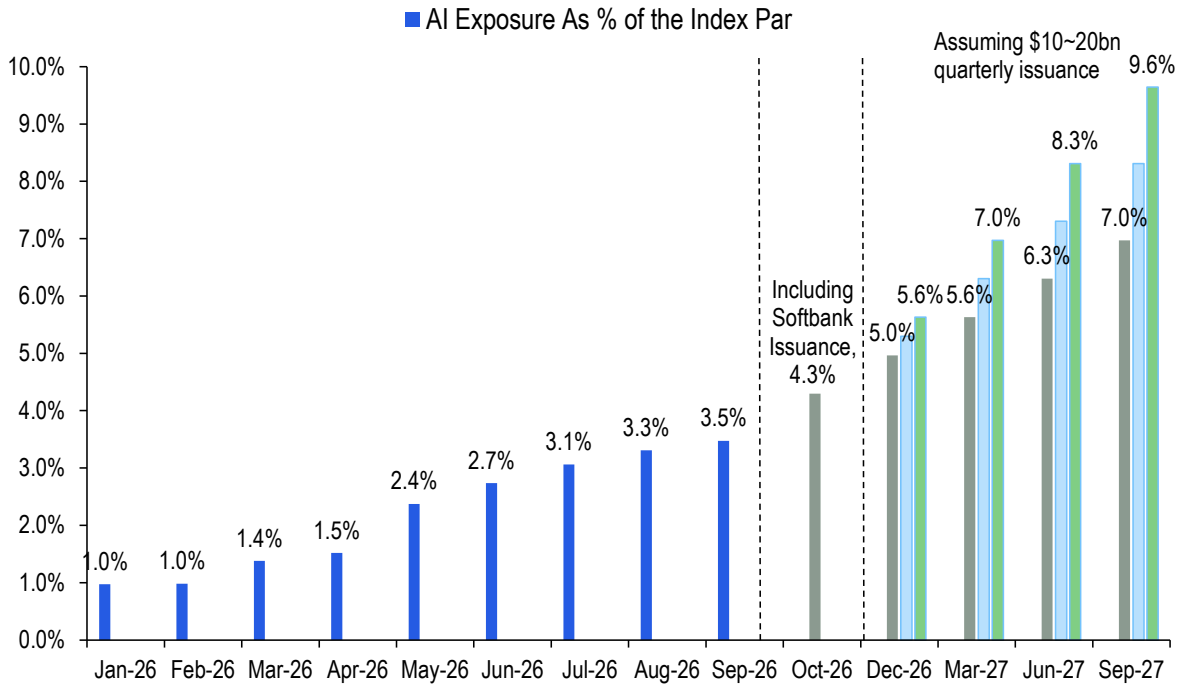


Source: Citi Research, PitchBook

HY Absorption Capacity

Although HY AI related paper is only 3.5% of the Bloomberg HY Index par, concentration can quickly rise in the HY market. After this week's issuance, AI exposure will rise to 4.3% of the HY Index for October. We forecast AI exposure could rise to 7%–10% around the same time next year.

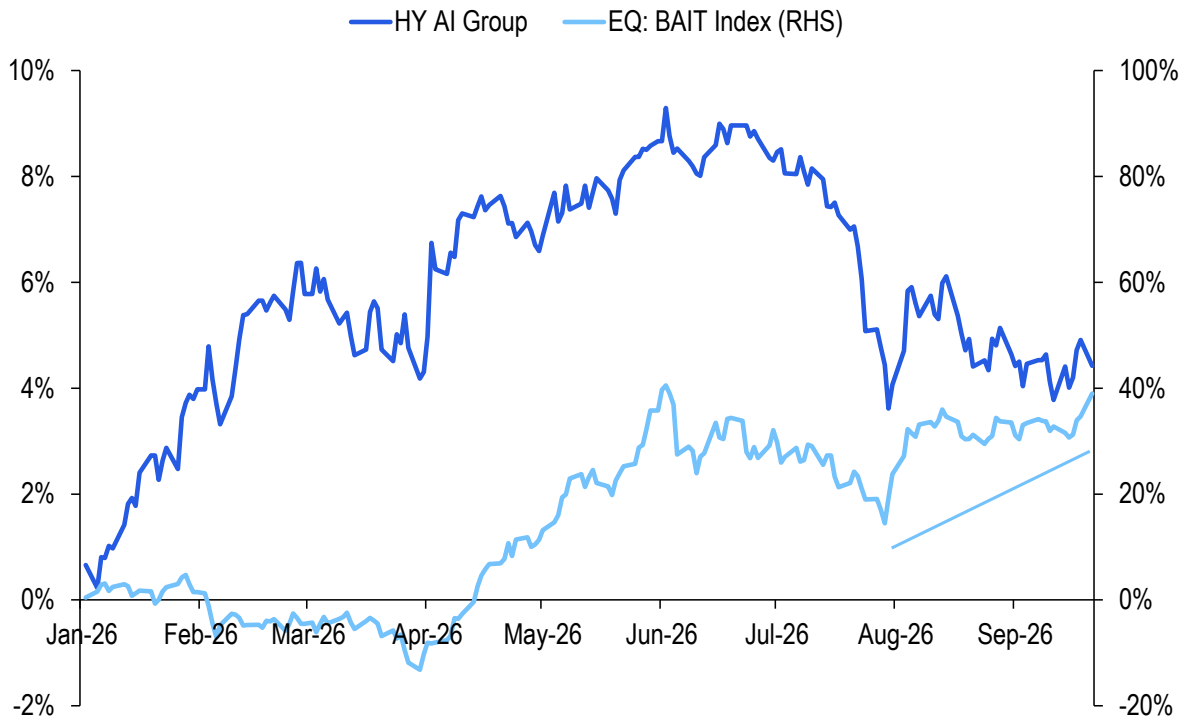
AI exposure set to roughly double under a modest 12-month issuance forecast



AI Bond Performance May Get More Closely Aligned with Macro

Market confidence in AI has rebounded since August, with AI equity rebounding 16% from July lows. This has not extended to HY AI bonds, which gained only 1% in the same period.

Equity has rebounded since August while HY bonds remain range-bound

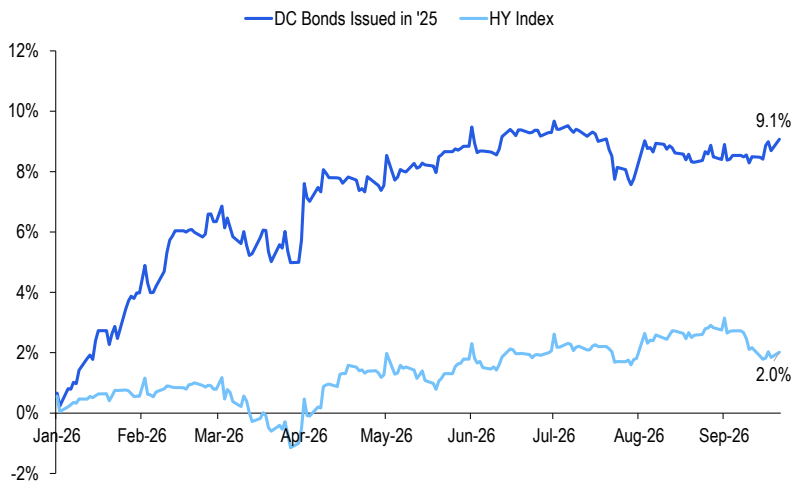


Source: Citi Research, Bloomberg

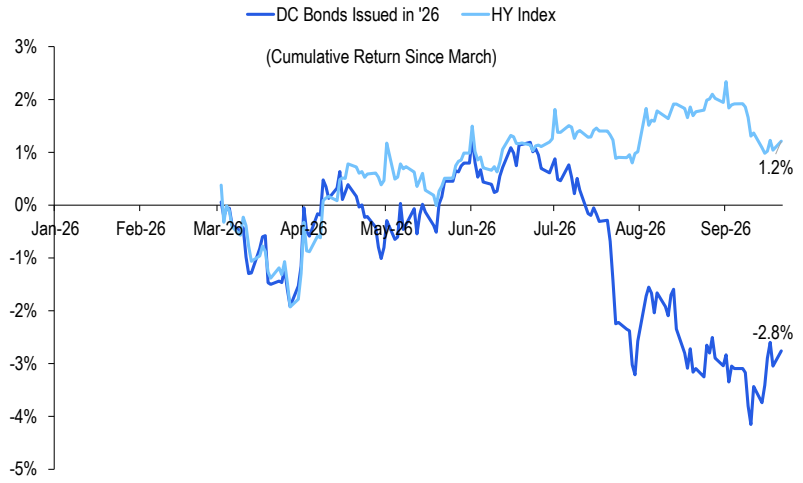
HY AI Performance is Heavily Skewed by Data Centers

Datacenter bond can be understood as project financing, driven more by bottom – up asset fundamentals than broader AI sentiment. Evident by the dispersion in the performance of data center bonds in construction or near completion versus those in development.

Data center bonds in construction/post – development phase leading performance



...while data center bonds sill in the development phase massively underperform

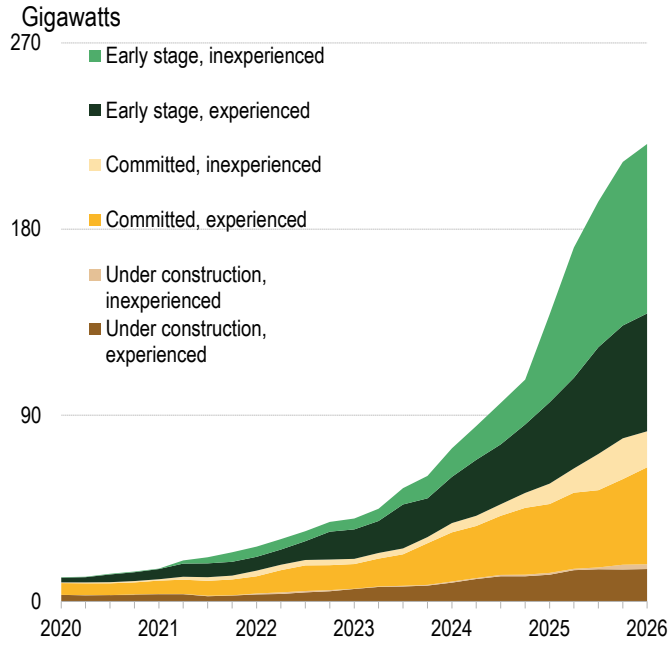


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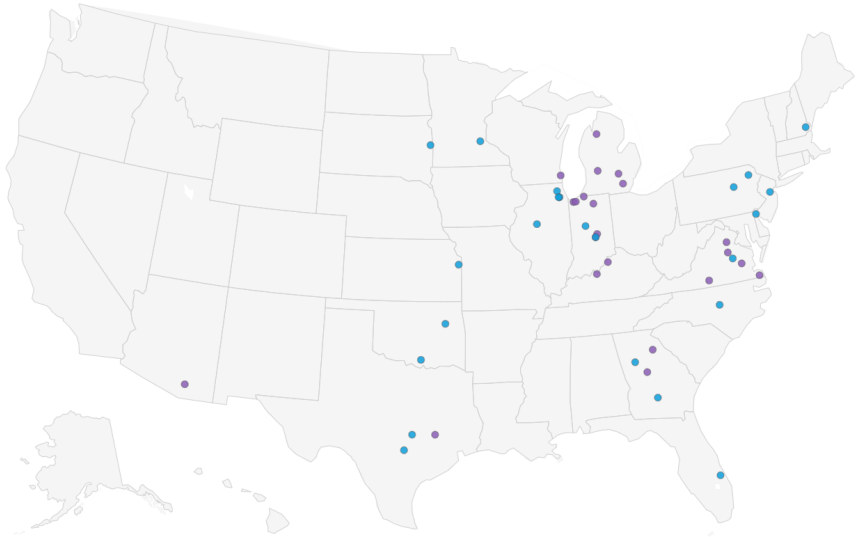
Data Centers – Opportunities, Yet With Caution

New data center development is facing significant headwinds as a wave of inexperienced builders grapples with rising project delays and cancellations. Disruptions are primarily driven by critical power grid infrastructure constraints, widespread equipment and labor shortages, regulatory permit bottlenecks, and growing political opposition.

Inexperienced builders are the majority in the early – stage pipeline



At the same time, more delays & cancellations are happening



Source: Citi Research, BloombergNEF

High Beta to AI Sentiment:

From Infrastructure to AI Sentiment Exposure

- We expect SoftBank's addition to the AI high yield basket will make it more correlated with AI market sentiment. SoftBank bonds are an unsecured claim on SoftBank's AI portfolio, including a frontier AI lab, rather than a specific infrastructure project captured in data center bonds.

- AI exposure is still a small fraction of the secondary HY market, and we see little near term impact from AI specific idiosyncratic factors. Nevertheless, with SoftBank's debut and the forecast of AI universe growth, idiosyncratic AI sentiment may carry more weight HY performance.

Q & A

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